Question 1: Solution

We will need to evaluate the skills and competence, capabilities and objectivity of the surveyor.

Competence

Paul Davies is a fully qualified chartered surveyor, having completed his professional qualifications earlier this year. **(1 mark)** Therefore, he holds appropriate certification and membership of a professional body **(1 mark)** and is likely to be suitably qualified to carry out the valuation work. **(1 mark)**

Capabilities

The valuer has only qualified recently and therefore may not have significant experience. **(1 mark)** However, as a former employee of Carter Lucas Valuations Ltd, he may have had some prior experience in valuation work with LFS. **(1 mark)**

The valuer's most recent experience since forming his own firm has been domestic valuations, **(1 mark)** and thismay indicate a lack of capability in the commercial field. **(1 mark)**

It has also been indicated that the fee for the proposed services may be much lower than that of Carter Lucas Valuations Ltd, **(1 mark)** which could indicate that the work may not be as thoroughly conducted due to the lack of review, raising a concern over the quality of work **(1 mark)** and the possibility that it cannot berelied on by the audit team. **(1 mark)**

Objectivity

It has been indicated that, based on the results of this work, the valuer could be engaged to undertake further services for LFS. **(1 mark)** This could lead to a lack of objectivity **(1 mark)** and the valuation results beingoverly favourable in order to provide a positive impression to the board. **(1 mark)**

Conclusion

Given the potential lack of experience over the types of properties being valued and potential risks over the objectivity of the surveyor, **(1 mark)** we may not be able to place reliance on the expert **(1 mark)** and furtheraudit procedures will be required to form a conclusion. These procedures could include employing an auditor expert and considering the market value of similar properties in the region. **(1 mark)**

Question 2: Solution

Evaluation of internal audit function

Objectivity

IAF should be free of any responsibilities that may create a conflict of interest, have access to the highest level of management and be able to communicate with the external auditors. **(1 mark)** In the proposed structure, Graham will report to the finance director. This is not in line with best practice as he is then not independent of the activities under review. **(1 mark)** He may also be reviewing the work of his previous colleagues (who he may be friends with) and he may have a level of intimidation threat from his previous line manager (the FD). **(1 mark)**

Competence and resources

The number and qualifications of IAF employees should be appropriate to the scope and objectives of the function. **(1 mark)** The proposed function will initially have one member, Graham. This is not appropriate for a company this size (20 depots) and indicates a lack of resources, **(1 mark)** which may impactthe ability of the internal audit function to carry out its responsibilities effectively. **(1 mark)**

Systematic and disciplined approach

The work of IAF should be properly planned, controlled, recorded and reviewed. **(1 mark)**

The chairman of the board of directors will approve the IAF plan, in the absence of an audit committee, which is appropriate. **(1 mark)** However, IAF will report their findings on an annual basis, which is too infrequent to be effective. **(1 mark)** The draft IAF audit plan is overly ambitious to visit all of the depots and perform the work indicated over cash and receivables **(1 mark)**. This indicates a risk that the work performed may be incomplete **(1 mark)** or the quality or scope of work will not be suitable for placing reliance on by the audit team. **(1 mark)**

The concerns from the depot managers may mean that IAF faces resistance in conducting its reviews due to the perceived lack of benefit to Machinery. **(1 mark)** Where the IAF is not valued within an organisation, there is a risk that the reviews will be ineffective and also that any recommendations from the IAF would not be actioned. This could raise concerns over the reliability of the results **(1 mark)** and the abilityto place reliance on the work of the IAF. **(1 mark)**

Given the weaknesses in the IAF noted above, **(1 mark)** the auditors could not rely on the work of IAF in its current proposed format. **(1 mark)**

Additionally, the IAF was established halfway through the financial year. Therefore, even if the auditors concluded that they could rely on the work of internal auditors, they would need to perform procedures to cover the other six months. **(1 mark)**